

Indian Railway Finance Corporation Ltd

IRFC · Financials / Specialty Finance

ROE

13.04%

ROCE

5.75%

Net Profit Margin

24.06%

D/E

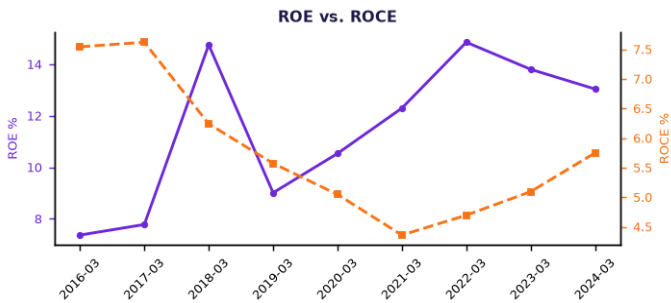
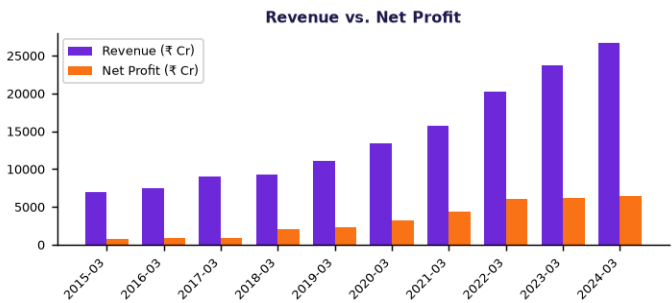
8.38

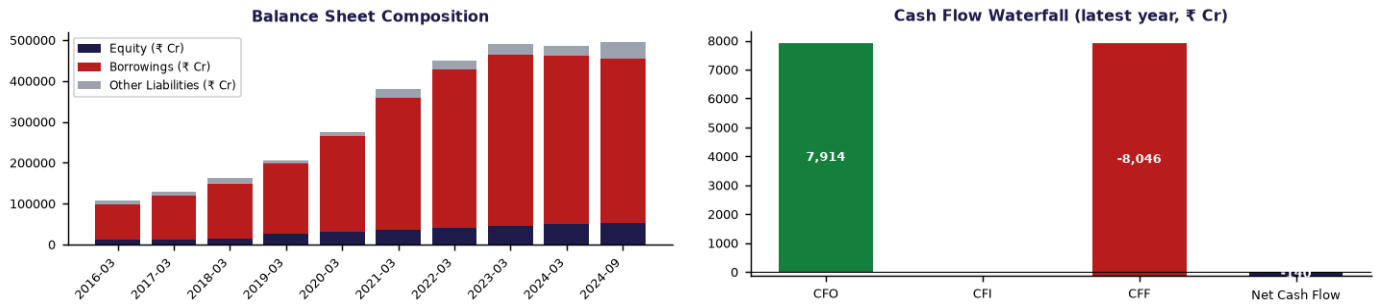
Revenue CAGR 5yr

19.07%

FCF (Rs. Cr)

7,906





Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (100% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (77% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (74% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (71% confidence)

Cons

- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (81% confidence)

Capital Allocation Pattern: **Reinvestor**